Sample solution

Commercial lease: retail unit on Kaya Grandi

Organisation: Harbourside Holdings N.V.
Portfolio element: Legal Work: Commercial Lease Agreement using Word Processing Software
Scenario: legal-6

Model answer · Teacher's Version

How this meets the marking criteria

Criterion	Marks	Where it is met in this solution
Appropriate graphic/logo representing the nature of the company (property/retail arcade) in the letterhead	**1 APP**	Page 1 letterhead: a shopfront/arcade logo (property company) beside the Harbourside Holdings N.V. name, address and contact line.
Credentials of the Tenant stated (trading name, years in business, Chamber of Commerce registration, business licence), the Landlord's nature of business, and the Premises fully described	**1 APP**	Landlord described as a property company that owns and lets retail and office space; Tenant trades as Island Threads Boutique, six (6) years in business, registered with the Chamber of Commerce and Industry of Bonaire, valid business licence; clause 1 describes Unit 4 in full (65 square metres, display window).
Parties clearly identified; clauses numbered with bold headings in uncomplicated language; lease dated; amounts in figures and words (mailability d, f)	**1 APP**	Both parties and the trading name in bold; 11 numbered clauses with bold headings in 1.5 spacing; dated 15 April 2026; deposit US$4,800.00 in figures and words.
Figures in the rent schedule accurately reproduced: monthly 2,400.00 / 2,520.00 / 2,646.00; annual 28,800.00 / 30,240.00 / 31,752.00; total 90,792.00	**1 IA**	Four-column rent schedule, bordered, bold headings, right-aligned: 2,400.00 / 2,520.00 / 2,646.00 monthly (5% a year); 28,800.00 / 30,240.00 / 31,752.00 annual (12 × monthly); total 90,792.00 (checked).
Signature spaces (3) correctly allocated: Landlord's representative, Tenant and Witness	**1 KC**	Signature section kept together: Landlord's representative (Mr. Desmond Ellis, Director), Tenant and Witness, with dotted lines, names and titles.
Total	**5**	**Every criterion is met in full.**

Files in this pack: legal-6 - Sample solution.pdf; commercial lease.docx.

Document pages: the 2 printed A4 pages follow this cover. All figures were checked by calculation (rent schedule consistent).

HARBOURSIDE HOLDINGS N.V.
Seabreeze Arcade, 45 Kaya Grandi, Kralendijk, Bonaire
Telephone: +599 717 9044
E-mail: leasing@harboursideholdings.bq

COMMERCIAL LEASE AGREEMENT

THIS COMMERCIAL LEASE is made on 15 April 2026

BETWEEN **Harbourside Holdings N.V.**, a property company that owns and lets retail and office space in Kralendijk, of 45 Kaya Grandi, Kralendijk, Bonaire (the Landlord),

AND **Ms. Monique Celestine Frans**, trading as **Island Threads Boutique**, of 12 Kaya Korona, Antriol, Bonaire (the Tenant). The Tenant is a fashion retailer who has run Island Threads Boutique for six (6) years. The business is registered with the Chamber of Commerce and Industry of Bonaire and holds a valid business licence.

The parties agree as follows:

1. **Premises**: Unit 4, ground floor, Seabreeze Arcade, 45 Kaya Grandi, Kralendijk, with a floor area of 65 square metres and one display window facing Kaya Grandi (the Premises).

2. **Term**: Three (3) years, beginning on 1 May 2026 and ending on 30 April 2029.

3. **Rent**: Rent is payable monthly in advance on the 1st day of each month. It increases by five per cent (5%) at the start of each lease year, as shown in the schedule below:

Lease year	Period	Monthly rent (US$)	Annual rent (US$)
Year 1	Months 1–12	2,400.00	28,800.00
Year 2	Months 13–24	2,520.00	30,240.00
Year 3	Months 25–36	2,646.00	31,752.00
Total rent for the term			**90,792.00**

4. **Security deposit**: US$4,800.00 (four thousand, eight hundred United States dollars), equal to two (2) months' rent at the Year 1 rate, payable on signing. It will be refunded within thirty (30) days after the end of the lease, less any amounts owed.

5. **Use of the Premises**: The Premises shall be used only as a retail clothing and accessories boutique. The Tenant shall open at least from 9.00 a.m. to 6.00 p.m., Monday to Saturday.

6. **Fit-out and signage**: The Tenant may fit out the Premises and put up a shop sign at her own cost, after the Landlord has approved the plans in writing.

7. **Utilities and service charge**: The Tenant shall pay for electricity, water and telephone used in the Premises. She shall also pay a service charge of US$180.00 per month for cleaning, lighting and security of the common areas.

8. **Repairs**: The Landlord is responsible for the roof, outside walls and main services. The Tenant is responsible for the inside of the Premises, including the display window glass.

9. **Insurance**: The Landlord shall insure the building. The Tenant shall insure her stock, fittings and public liability.

10. **Assignment**: The Tenant may not sublet the Premises or transfer this lease without the Landlord’s written consent.

11. **Renewal**: The Tenant may renew the lease for a further three (3) years by giving written notice at least six (6) months before the end of the Term. The new rent will be agreed between the parties.

SIGNED on 15 April 2026

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Mr. Desmond Ellis
Director, for and on behalf of Harbourside Holdings N.V. (Landlord)

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Monique Celestine Frans
Tenant, trading as Island Threads Boutique

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Witness: Ms. Valerie Thomas, Property Manager